

Network Impact

Q. How does Carnesville SKU and unit capacity compare to existing sites?

A. Carnesville will be able to carry 2M+ SKUs and 17.5M On-Hand Units at maturity. This is significantly more SKUs and inventory than we've seen from existing sites (DFW5) thus far. At scale, existing NextGens are also expected to carry 2M+ SKUs and may carry even more units with the slight larger ASRS (3.5M eaches cube versus 3.1M).

	DFW5 (FY26 Peak)	Carnesville	% Delta
Cube Capacity	4.5M	3.5M	(22%)
Days of Supply	67	34	(49%)
Cubic Ft per Unit	0.21	0.20	(5%)
SKU Count	400K	2M	+400%
On-Hand Units	14.5M (actual Q4 FY26)	17.5M	+ 21%

Q. Why are we leveraging upstream storage in our network plan?

A. Current long-range plans project a significant gap between required and available storage capacity. For example, by FY31, demand for sortable cube is expected to reach 101M, compared to 37M today, leaving a 64M cube gap. Upstream storage solutions can reduce the FC storage gap by ~20M cube, avoiding the need for expensive new fulfillment centers. Upstream nodes allow us to store excess inventory in low-cost case storage, which is roughly 25% of the cost of FC storage. This "Hold and Replenish" strategy reduces capital requirements for FCs while maintaining flexibility to replenish downstream nodes as needed.

By holding inventory upstream, we can aggregate purchase orders and allocate stock dynamically based on real-time demand signals. This approach increases SKU coverage across the network and supports faster replenishment cycles, improving customer experience and reducing out-of-stock scenarios. Upstream nodes provide a buffer for demand variability and optimization of flow paths. Advanced modeling shows that upstream capacity helps reduce total network cost, improve asset utilization, and minimize less-than-truckload (LTL) shipments.

Q. How does this investment improve Walmart's fulfillment network performance?

A. Carnesville will anchor Walmart's Southeast Internalized Parcel (IP) network, fulfilling ~70M packages annually and supporting 150-190 stores via FC direct lanes. It enables faster, lower-cost last-mile delivery and reduces reliance on third-party carriers. The site contributes to achieving 94% next-day delivery coverage across the U.S. by FY31 — a key strategic goal for eCommerce competitiveness.

A. Carnesville is the first of seven new NextGen FCs that will launch in FY29. It establishes the operational and automation framework for follow-on builds in Phoenix, Walkill, Orlando, Seattle, Denver, and Minneapolis. Together, these sites will enable Walmart to meet 3.5x fulfillment demand growth, support 94% next-day reach, and integrate 2,300 Internalized Parcel stations across the U.S.

Q. Why are we prioritizing Carnesville, GA as the first NextGen Fulfillment Center?

A. Carnesville unlocks growth and capacity in the Southeast that closes the largest regional capacity gap where 21% of network demand sits. Carnesville also offers the highest incremental impact on Walmart's next-day

Commented [NB1]: @Vijay Manoharan can you validate that these values are still accurate? (I think this is from the Nov ASM)

Commented [VM2R1]: These will be refreshed in FY27 LRP

Commented [HB3]: @Vijay Manoharan should we also mention SE drives the 21% of the demand and has significant capacity gap.

Commented [VM4R3]: done

Carnesville ASM Frequently Asked Questions

delivery network — unlocking +14.7% Next Day coverage for our 2M-SKU assortment in the Southeast. It sits strategically between Atlanta, GA and Greenville, SC, serving 1,085 Supercenters within 350 miles, and fills a major regional gap in Internalized Parcel coverage. The site's low land cost, \$130M in tax incentives, and entitled status make it an optimal launch location where similar opportunities are scarce.

Commented [MT5]: @Kourtney Miller /@Greg Nunn - Total incentive value is ~\$130M

Q. How does Carnesville improve operational efficiency compared to current FCs?

A. Carnesville incorporates design enhancements from DFW5, such as modularized inbound flow, reduced offline storage (by 70%), and higher space utilization. It maintains the same building footprint and automation core while increasing throughput to 150M annual units and expanding storage capacity to 3.1M cube. These upgrades improve Days of Supply by 20% and boost overall network efficiency.

Q. How many eaches will Carnesville hold?

A. Carnesville will be able to carry 17.5M+ eaches/units, plus additional cases storage. This supports 2M+ unique SKUs and enables the Next Day CVP goals for the Southeast region.

Commented [KM6]: @Jack Anderson @Hrishikesh Badve @Vijay Manoharan can you please update the number of eaches Carnesville will hold for FAQ?

Q. What does a NextGen do for Same Day coverage?

A. NextGen FCs will offer Same Day and Sub-Same Day propositions, building on the FC Direct Delivery pilot that will begin in May in ORD1. By dispensing directly to vans and sedans from the FC (taking actions to ensure safety, security, and service) we remove touches and free up hours for customers to order. These capabilities from FCs work alongside expanded depots to provide our Sub Same Day proposition. We will also leverage later parcel station injection to enable Same Day with Internalized Parcel in certain catchments alongside FC direct delivery. Which capability we leverage is being investigated in the ORD1 pilot and will be driven by LMD routing optimization and cost.

Commented [JA7R6]: First pass done

Commented [KM8]: @Jack Anderson @Hrishikesh Badve @Vijay Manoharan can you please update the number of eaches Carnesville will hold for FAQ?

Commented [KM9]: @Jack Anderson @Hrishikesh Badve @Vijay Manoharan please update the FAQ for how NextGen support Same Day coverage

Commented [JA10R9]: First pass done

Q. Without IND1 two-tier, what is the total capacity gap?

A. Without IND1 two-tier, we project a capacity gap of:

- 1.8M cube capacity (near-term)
- 2.5M cube capacity (long-term)

In the near term IND2 will provide bridge capacity of 800K cube for FY27 peak to supplement IND1 two-tier. To utilize our Nextgen buildings as throughput engines and offer 2M+ assortment Next day to 95% of population, we will need additional 2 tier capacity.

Q. With a 15% reduction in 1P for Fulfillment how does this impact NextGen's or Carnesville? Does the 1P reduction allow more WFS and what is that impact.

A. FY31 1P FC volumes grew higher by 147% in last year's LRP compared to the previous year. NextGen FCs will support a large portion of the 1P fulfillment capacity. With a 15% reduction in 1P for fulfillment, Next Gen FCs will be able to support more WFS in specific markets where additional WFS entitlement is available. For Carnesville, there is potential to increase WFS by 4.5M annual units.

Location

Q. Why not locate Southeast NextGen closer to the ATL airport / FedEx?

A. While proximity to the airport may seem like an advantage, it drives higher land costs and exposes us to areas with a weaker labor pool due to high crime index. For example, Griffin, GA (34 miles from FedEx) has land costs \$56M higher than Carnesville and a crime index of 238 vs. 50 in Carnesville. With the Internalized Parcel (IP) design at Carnesville, we will serve 150 stores directly (FC direct) and 300 stores via sort centers connected to Carnesville, reducing reliance on 3P carriers near airports and strengthening network resilience.

Q. Has Atlanta traffic been factored into our logistics planning from the Northeast Atlanta site?

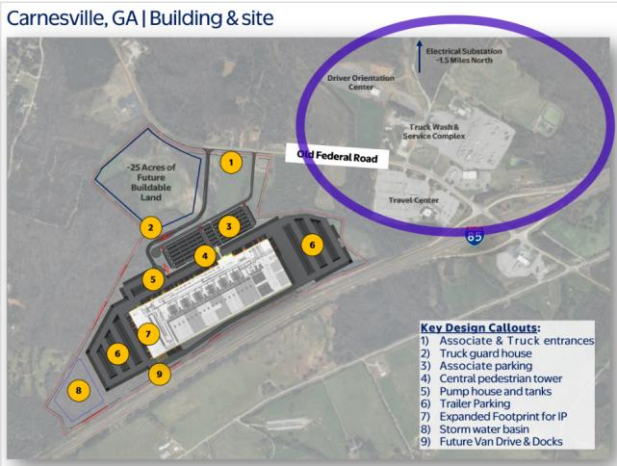
A. Yes. The team modeled southbound traffic flows and aligned with stakeholders to ensure minimal impact. The design incorporates strategic mitigations to avoid peak congestion.

Q. What specific strategies are in place to avoid traffic delays?

A. Later inject times into stores, Multiple waves of deliveries per day, 11 a.m. cut times for store injection. These measures extend the operational clock and help us avoid morning and evening peak traffic hours. The design ensures we can still meet late FC cutoffs and maintain the next-day delivery promise for IP volume, even accounting for traffic variability.

Q. What are the identified areas on the outside of the Carnesville site (circled in purple)?

A. These are non-Walmart areas - including driver orientation center, truck wash and service complex, electrical substation, and travel center – and having them near a fulfillment center creates an efficient, self-contained logistics hub that reduces downtime, improves reliability, and lowers operating costs. Drivers can be trained, rested, and serviced on site, while trucks receive maintenance and cleaning without leaving the area—keeping them road-ready and minimizing empty miles. The nearby electrical substation ensures a stable power supply for high-demand operations, and the travel center supports driver comfort and retention. Altogether, this co-location streamlines operation boosts productivity, enhances safety, and strengthens the overall fulfillment network’s resilience and speed.



Q. What is included in the \$129M tax package for Carnesville?

Commented [HB11]: @Vijay Manoharan can you confirm the store count #, i believe it was around 450?

Commented [VM12R11]: done

Commented [LS13]: @Kourtney Miller should this be updated?

Commented [MT14R13]: This needs to be updated as this was against original capex inputs:

Sales tax exemption (capex): \$45M
Tax abatement (opex): \$117M
Job tax credit (opex): \$6.3M

@Greg Nunn for visibility

Commented [GN15R13]: Section is updated as of 3.30.26. Updated incentive values are based on the informal incentive offer from Georgia and Franklin County

Carnesville ASM Frequently Asked Questions

A. The table below summarizes potential financial incentives for a project, estimating total benefits of \$129 million. The distribution facility sales tax exemption and property tax abatement are the largest contributors, offering substantial capital and operating expense reductions. A job tax credit provides annual corporate tax savings for new job creation, while infrastructure development grants are designated to further offset capital costs. Overall, these incentives significantly reduce upfront and ongoing project expenses through tax exemptions, credits, and grants.

Total Incentive Value \$ 129,080,000			
Incentive	Impact of Benefit	Est. Gross Benefit	Term & Description of Benefit
Distribution facility sales tax exemption	Reduction of Capital	\$ 45,180,000	Applies for the project duration. Savings realized on qualified equipment purchases.
Infrastructure development grants	Reduction of Capital	\$ 2,500,000	Paid after project completion. Grant funds are used to offset project costs.
Real and personal property tax abatement	Reduction in OpEx	\$ 64,000,000	15-year term with declining values.
Job Tax Credit	Reduction in corporate tax expense	\$ 17,400,000	Credit is earned annually over 5 years. 95 jobs @ \$5k/job and 860 jobs @\$3,500/job

Q. How does our trailer yard sizing compared to AMZ?

Category	Sub-Type	Amazon (U.S. 2025 est.)	Walmart (U.S. 2025 est.)	Key Differences / Notes
Fulfillment Centers (FC)	Sortable Robotic / multi-level	140–160 sites	~45 eCommerce FCs	Walmart FCs tend to be single-level and larger land footprints; Amazon's multi-level sites are denser, with fewer stalls per MSF.
		250–350 trailer stalls/site	350–450 stalls/site	
	Non-Sort / XL (Bulky)	50–70 sites	~15–20 high-cube / bulky FCs	Both handle furniture/appliances; Walmart sites typically serve fewer SKUs but higher cube per item, requiring more yard dwell.
		350–500 stalls/site	450–550 stalls/site	
	Legacy FCs (Single-story)	40–50 sites		Amazon still operates several legacy FCs from pre-2020 wave with large yards.
		400–450 stalls/site		
Sortation Centers (SC)		150–200 sites		Amazon's SCs are more numerous but smaller; Walmart relies on regional "perishable DCs" and general-merch cross-docks.
		150–250 stalls/site		
Delivery Stations (DS)		550–700 sites		Amazon's DS network is broader, but each site has smaller yards; Walmart's are larger and integrated into DC campus.
		20–60 stalls/site		
Same-Day / Sub-Same-Day FCs		30–60 sites		Both run small urban nodes with minimal trailer staging.
		10–20 stalls/site		
Returns / Cross-Dock / Specialty		40–80 sites		Walmart's returns/cross-dock sites often co-located with DCs, giving larger yard fields.

Key Design Drivers Behind Trailer Reduction

1. Regionalization of the network (8 self-sufficient regions)
 - Fewer long-haul transfers, less need to hold empty trailers.
 - More “live load” moves instead of drop-and-hook.
2. Higher automation and robotics density
 - Faster inbound/outbound turns; reduced dwell time per trailer.
 - Robotic FCs (e.g., Sequoia, Proteus, Sparrow) process orders faster, needing less yard storage.
3. Improved yard management & dock scheduling software
 - Amazon Yard Management (YMS) now dynamically optimizes inbound/outbound flow, cutting idle trailers by 20–30% vs 2019.
4. Multi-level and constrained urban FCs
 - Moving up instead of out reduces horizontal space for yards.
 - Structured auto parking replaces some trailer lots.
5. Shift toward direct FC → Delivery Station injection
 - Reduces intermediate sortation transfers.
 - Smaller DSs or sub-same-day sites handle fewer linehaul drops.

Q. Is 1,000 trailer parking needed for NextGen's? What is the rationale? What is Peak demand and what does this provide future scalability?

Volumes outlined in the Business Design Requirements translate to a daily peak inbound trailer volume of 200. To support quick trailer turns, a 2:1 trailer-to-space ratio is required to maintain an adequate trailer pool (200 → 2:1 → 400 trailer locations). In addition, 50 trailer locations are reserved for inbound flow to support Ship with Walmart and Inorganic IP volume.

Peak outbound volume, driven by IP demand, requires 275 trailers. Applying the same 2:1 ratio to support efficient turns results in a total outbound requirement of 550 trailer spaces (275 → 2:1 → 550).

400+50+550 = 1000 Trailer Locations

CapEx

Commented [KM16]: @MaryEllen Kauffman @Adam Dunbar @Barat Smith can you update the FAQ for why NextGen have 1000 trailer parking locations

Commented [AD17R16]: @Rich Hanna @MaryEllen Kauffman Lets put the math in here explaining why 1000.. Focus on peak needs, how many outbound trailers we hold, how many empties for peak, and Inbound should not exceed 300-400 trailers. Lets discuss swing space etc.

Commented [MK18R16]: @Adam Dunbar - Let me know what you think.

Commented [RH19R16]: Looks good MaryEllen - resolving

Carnesville ASM Frequently Asked Questions

Q. Why not build more manual FCs?

A. In the current Sortable Fulfillment network, automated NextGen FCs outperform Legacy Manual at a 50% lower variable cost to serve, deliver almost 30% faster customer promises, and support 5x the SKU assortment. With nearly double the cube density, a single NextGen FC can handle the same annual volume as two manual sites. NextGen FCs incur higher initial costs but have operating costs per unit that are 25% lower than manual FCs, making them less viable from a financial perspective compared to an automated FC.

Q. Has KNAPP taken any inflationary costs?

A. Yes, KNAPP has committed to a \$10M goodwill discount per FC to offset the inflation-driven markup.

Commented [KM20]: @Steve Prunest @Nicole Blyth does this need to be updated from \$10M to \$15M?

Commented [NB21R20]: No, this is still accurate. This is a different discount that was negotiated last year

Q. With exchange rate declining, is there any impact on the budget estimate?

The actual exchange rate was approximately 1.17 FX, which translated to an effective rate of 1.21 after accounting for hedging costs. These hedging costs typically add about +0.04, though this can vary slightly depending on bank pricing. Generally, each 0.01 movement in FX is worth roughly \$3.8M, assuming the bank's incremental cost remains at +0.04. Based on current rates, if we were to lock in the pricebook today under typical bank conditions, we would realize approximately \$5.7M in savings versus the current budget.

Q. What is the assumption for freight and how can a prolonged energy conflict impact?

KNAPP freight costs are firm and fixed unless renegotiated at the SOW level. We have not observed any recent increases in pricebook freight costs. If this holds and KNAPP does not implement changes ahead of ASM, we should continue locking in firm, fixed pricing to shift risk onto KNAPP.

Q. What are the assumptions on tariff and what potential risk do we have?

Tariffs as stated in the REC materials are based on a blended average derived from a 15% base tariff on EU imports and 50% steel tariffs. This blended rate has been refined and validated against actual tariff costs from ongoing projects. We have not updated these assumptions to reflect recent tariff changes following the Supreme Court ruling. However, post-Supreme Court ruling and following the Turnberry Agreement (ratified by the European Parliament last Thu), we would expect some tariff reduction. Specifically, the Turnberry Agreement should lower steel tariffs, although any savings may be partially offset by the onshoring of racking.

Commented [MT22]: @Kourtney Miller - When will teams come back with a true up?

Commented [NB23R22]: I added a couple notes to this answer to indicate that we plan to true these up by end of April (before CFO turn in)

Note that tariff calculations will be reconciled by end of April according to the latest developments in tariff risk exposure.

Carnesville ASM Frequently Asked Questions

Q. Are there more details behind the Construction budget breakdown?

A. Here are descriptions of the highlighted Construction line items:

CONSTRUCTION	\$579,377,161
General Requirements	\$83,313,605
Div 2 – Sitework	\$75,915,755
Div 3 – Concrete	\$52,348,013
Div 4-10 Building Interior	\$136,787,383
Div 11-14 Equipment/Special Const/Fire Protection	\$10,362,991
Div 15 – Mechanical	\$97,656,821
Div 16 – Electrical	\$83,001,431
Design Fees & Permits	\$10,114,000
Interim Interest	\$29,877,162

Building - Includes all materials and labor that make up the building shell. Examples: concrete slab, structural steel, pre-cast walls, roofing systems, etc.

General Requirements - Covers the contractor's overhead and project maintenance costs. Examples: temporary electrical setup for job trailers, equipment rentals, site upkeep, and other general items needed to manage the jobsite throughout construction.

Equipment / Special Construction - Refers to specialized components or installations. Examples: dock levelers, hazardous material (hazmat) storage areas, fire-rated walls, storm shelters, dock seals, and other specialty items.

Tariffs - Represents cost increases passed on from suppliers due to tariffs or material price changes. Examples: increases related to copper, imported components in rooftop units (RTUs) and building control systems, concrete additives, and other material or equipment components.

CTL (Construction Testing Laboratory) - Involves third-party testing and inspection services. Examples: testing and verification of concrete slabs, welds, roofing, and other installations to ensure proper compliance and quality throughout the project.

Q. Are there more details behind the Automation budget breakdown?

A. Here are descriptions of the highlighted Automation line items:

Commented [NB24]: @Steve Prunesti

Carnesville ASM Frequently Asked Questions

ENGINEERING	\$751,537,441
Primary & Secondary AS/RS	\$162,700,387
Conveyor & Sortation	\$284,784,645
Software, Startup, Testing	\$50,885,800
Firm Engineering	\$11,007,331
Tax	\$37,188,925
Totes	\$27,681,446
Workstations & Operational Items	\$8,870,501
Racking	\$2,193,606
Packsize Machines	\$16,212,075
Ranpak Machines	\$5,564,495
Autobagger Machines	\$4,273,260
Powered Industrial Equipment	\$6,617,286
Vertical Reciprocating Conveyor	\$4,180,173
Floor Grinding for AS/RS and VNA	\$660,872
Non-KNAPP Automation	\$4,089,221
Interim Interest	\$38,203,799
Contingency	\$27,698,624
Tariff	\$58,724,995

KNAPP Primary & Secondary AS/RS: Budget material and installation of racking (~1.8M tote locations in Primary ASRS), 2,006 shuttles, 120 lifts, and ASRS hardware (power rails, tote supports, power supplies), front zone/rear zone platforms, and test rack

KNAPP Conveyor & Sortation: Budget for material and installation of KNAPP conveyor and sortation which includes 2 cross belt sorters, over 23 miles of conveyor, divert/merge equipment (roller switches, Intralox, etc.), all conveyor related components (control cabinets, wiring, pneumatics, scanners), tape machines at box finishing, and pickstations

KNAPP Software, Startup, and Testing: Budget for efforts in software development, onsite software commissioning, PLC commissioning, KNAPP internal testing, and Knapp efforts during joint KNAPP/Walmart Testing.

Totes: Over 1.8 million totes which includes both tote material (\$8.94 per tote from joint bid) for Carnesville site and tote loading labor

Workstations & Operational Items: Budgeting for material and instillation of workstations (decant, box finishing, etc.), balers, 5S, anti-fatigue mats, and similar

VNA Pallet Racking: Budgeting for 400K cube of VNA racking including material and installation

Packsize Machines: This includes the installation of all Packsize base machines (48 Ultra 5 Machines) and the purchase and installation of 24 flaps down units and 3 Ultra 5 XL machine

Ranpak Machines: Budgeting for the purchase and installation of 12 Ranpack auto void fill/box closing machines

Autobagger Machines: Budgeting for the purchase and installation of 12 autobagger machines

Power Industrial Equipment: Budgeting for the purchase of a variety of PIT equipment totaling 93 pieces and the associated charging equipment

Vertical Reciprocating Conveyor (VRC): Budgeting for the purchase and installation of 6 VRC units

Non-KNAPP Automation: Includes budgeting for Robopac auto shrink wrap machines, Cubiscans (auto dimensioning equipment), and gaylord dumpers for IP

Floor Grinding for ASRS and VNA Pallet Racking: Budgeting for typical grinding needed to allow for VNA operation and spot grinding withing the ASRS area

Tariffs: Estimated tariffs for all Automation scope, \$55M of which expected from KNAPP scope. This is after extensive ASRS onshoring efforts.

Commented [KM25]: @Steve Prunesti @Nicole Blyth @Lauren Siller I updated the MHE CapEx. Can you ensure the verbiage below is refreshed?

Commented [NB26R25]: Commentary is still correct

Financials

Commented [NB27]: @Matt.Termeer can you please scrub this section? These answers are from Nov ASM

Q. What are the expected financial returns and risks?

A. This project delivers an 11% to 13% IRR. Key risks have been mitigated through early procurement, flexibility of Knapp resources, and a phased approval (pre-buy, final build later). The total capital investment is \$1.391B and is phased across FY26-FY30, balancing capital discipline with sustained growth.

Q. What are the financials by business segment for Carnesville?

A. Underpinned by strong volume growth, by FY31 Carnesville is projected to reach 128M outbound units, ramping to 150M in FY33. At steady state, WFS represents 46% of volume, 34% Sam's, and 20% 1P. This site is expected to deliver a blended AUR of \$23.71 (\$22.56 excluding Sam's) at a 4.4% growth CAGR in line with current LRP and contribution profit rate of 8%, reflecting continued improvements in pricing and profitability.

Contribution profit is the portion of revenue remaining after all variable fulfillment costs.

	Carnesville, GA (Southeast)					CAGR
	FY29	FY30	FY31	FY32	FY33	
Total Outbound Units	18M	106M	128M	139M	150M	
% WFS	0%	29%	37%	42%	46%	
% 1P	33%	26%	23%	22%	20%	
% Sam's	67%	44%	40%	37%	34%	
AUR	\$19.96	\$21.32	\$22.19	\$22.94	\$23.71	4.4%
WFS	\$22.68	\$23.01	\$23.25	\$23.95	\$24.67	2.1%
1P	\$15.78	\$16.23	\$16.70	\$17.20	\$17.72	2.9%
Sam's	\$22.05	\$23.24	\$24.44	\$25.17	\$25.93	4.1%
Contribution Profit (ex Cost Allocations)	-0.2%	4.9%	7.0%	7.5%	7.9%	
WFS	0.0%	10.3%	13.2%	13.0%	13.0%	
1P	-13.5%	-7.5%	-4.3%	-4.2%	-4.1%	
Sam's	6.8%	6.5%	6.1%	6.1%	6.1%	

Q. What is the impact of Sam's and WFS on this business case?

A. To support Sam's unification strategy, Carnesville will outbound 51M annual Sam's units at steady state, representing 34% of total volume. The business case only includes enterprise unification savings for that volume.

A. WFS is a critical driver of the business case, given its accretive margin profile. Net Sales include commissions, fulfillment fees, incentives, revenues, Goodwill and chargebacks, largely offset by shipping and variable fulfillment costs. Incorporating customer care and payment-related expenses, normalizes contribution profit from 13% to 10.7% in steady state.

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Q. How are current NextGen FCs performing to plan?

A. While ongoing construction expansions and challenges around inventory health have resulted in UPH headwinds in FY27, all existing NextGen assets – ORD1, IND3, DFW5, and PHL5 – are on track to achieve business case UPH in the next few years.

Timeline

Q. What levers can be pulled to mitigate the October FY29 (post-Peak) go-live and pull it into August/July?

A. With 60% of the design finalized, the team is actively coordinating a detailed schedule to accelerate critical building and site work. The goal is to enable MHE installation to begin earlier than currently planned.

There are multiple focus areas that can drive schedule mitigation and will continue to be pursued by Engineering and Construction partners:

- The remaining duration is driven by external approvals, and we’re actively managing those interfaces to eliminate avoidable friction.
- Grading and site work are aligned under common contractors across the developer and GC to avoid permitting issues and ensure clean trade handoffs.
- The GC is engaged early and continuously in pre-construction design to catch constructability and scope gaps upfront and prevent late changes.
- MHE partners are being sequenced and their requirements streamlined so installation can begin earlier than traditional start points.
- Team is evaluating a reduction in the Phase 1 go-live scope to shorten the duration between the start of MHE installation and go-live, including a potential three-phased approach. This would reduce the Phase 1 go-live from 50% to 33% cube and throughput while potentially pulling in go-live by 1-2 months. Exact improvement and Phase 2 go-live timing will be refined as permitting and construction timeline is finalized once permit is obtained. This will be considered a Plan B option if an August go-live cannot be achieved through other mitigation efforts.

Q. How does the Carnesville timeline compare to previous NextGen buildings?

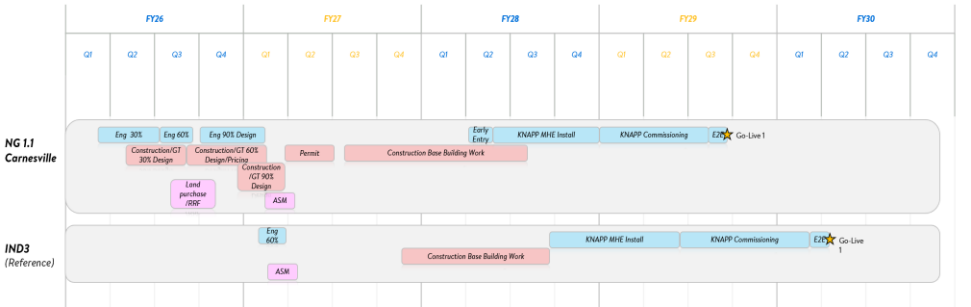
A. The duration from ASM Full Approval to go-live reduced by 6 months from IND3 to SE Gen1.1 schedule. Start of KNAPP install to go-live reduced by 3 months relative to IND3 through improved installation speed and prior experience in commissioning. Start of construction to KNAPP entry improved by 3 months through site condition coordination.

Commented [NB28]: @Steve Prunest

Commented [NB29]: @Steve Prunest can you check if this needs updating (milestones for Carnesville still correct)?

Commented [SP30R29]: This is still accurate as of now. Would need to be updated as we finalize schedule and plan to August

Carnesville ASM Frequently Asked Questions



Future NG Sites

- Q. Will the total Capex remain constant across geographical regions?**
- A.** No. Each region has unique risks and opportunities—some may require higher labor or seismic design costs, while others may offer incentives to build or locate. Every region will be evaluated to balance risks and capture opportunities.
- Q. Why are the Northeast and Southwest the next sites after Carnesville, GA?**
- A.** Carnesville (Southeast) delivers the biggest boost in Next Day coverage, but the Northeast and Southwest are critical for keeping up with demand. These regions don't add as much new coverage, but without new sites there, orders would be pushed to out-of-region facilities, slowing delivery and breaking our Next Day promise. We've already expanded in Upper Midwest (IND3 and ORD1), so the Northeast and Southwest are the next logical steps.

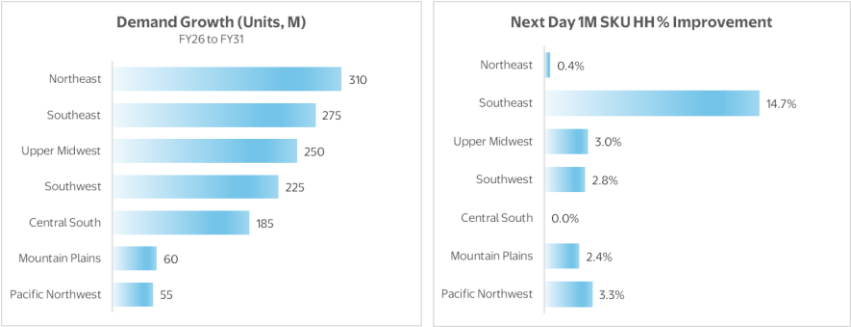


Figure 13: Demand growth and Next Day coverage gains by high-level geo

Design

- Q. Why does Carnesville need 2 outbound sorters?**
- A.** Carnesville requires substantially higher sortation capacity than prior NextGen FCs due to reduction in units per package and processing requirements for organic and in-organic Internalized Parcel. Fewer units per package projections are driving a ~17% increase in peak outbound packages per day compared to DFW5 design. At the same

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time, Internalized Parcel volume must be processed within tighter time window. For example, the 35,000 in-organic IP packages per day must be sorted within a three-hour period, consuming 40–50% of a single cross-belt sorter's capacity. Together, these factors drive the need for additional sortation beyond the original DFW5 design and are consistent with expansions underway at DFW5.

Q. Why is the "primary sorter" in Carnesville design similar in size to the DFW5 existing sorter?

The "primary sorter" at Carnesville supports outbound volume to 25 national sort centers and 15 third-party carriers. This requires 40 fluid-load destinations, driving sorter track length and destination count similar to DFW5's sorter.

Q. Why was the Secondary ASRS reduced from 9 aisles to 6 aisles, compared to current NextGens?

A. The Secondary ASRS is designed for oversized SKU storage, inbound case buffering, and order consolidation across ASRS systems. Following December 2025 Sortable SKU Definition reduction to 1.6 max cube per unit (vs. original 1.98 for 1P and 3.25 for WFS), oversized SKU cube at Carnesville will reduce by ~50%. As a result, the Secondary ASRS was reduced by 33% to right-size the storage while providing the required inbound buffering capacity. Right-sizing the Secondary ASRS to the new Sortable SKU Definition aisles also accounted to a \$8M reduction in CapEx.

Q. Why is there a difference in UPH between Carnesville and current NextGens?

A. Benchmarking Carnesville and existing NextGen sites on a hybrid maintenance model, Carnesville shows a slight UPH degradation versus existing NextGens (95 UPH vs. 97 UPH), primarily driven by higher Internalized Parcel (IP) processing. 43% of box volume is palletized and sent to stores - introducing a headwind (-4.5 UPH). These headwinds are partially offset by automation tailwinds - 50% of auto-bagged units (+2.0 UPH) and ~7% SIOC penetration (+0.5 UPH). The hybrid maintenance model degrades UPH by 4.2 but introduces 19% overall savings in fixed cost (58% savings for KNAPP specific fixed costs) for an overall tailwind to the business case.

Q. With the Gen2 racking configuration, are we losing the opportunity to add another level to the ASRS?

A. No. While there is an opportunity to add up to four tote levels in a Gen1 configuration, it would not support a full-service level (which requires five tote levels). A service level is the maintenance access level within the rack that enables safe access to aisles and tote positions. Gen2 rack with Gen2 totes remains the most cost-effective option, delivering 14% incremental eaches cube at ~1/7th the cost. This approach of Gen2 rack with Gen2 totes is already implemented at SMF2. We will validate cube benefits post go-live (Aug FY27) by measuring tote utilization, units per tote, decant and pick rates, and associate feedback.

Q. How will decision be made on putting in the tall tote vs shorter tote?

A. The decision to utilize tall versus standard totes will be based on performance evaluation over an approximately 17-month period following SMF2 go-live (see timeline below). During this time, we have a validation plan in place that focuses on four key dimensions: decant efficiency, picking productivity, cube utilization, and associate safety. The goal is to assess whether the tall tote demonstrates a measurable advantage compared to the standard tote across these metrics. These insights will inform the final decision prior to purchase order placement for Carnesville.

Commented [LS31]: @Nicole Blyth do you think this should be more general (remove the %s) or is this the correct level of details for the audience?

Commented [LS32]: @Steve Prunest - let me know your thoughts

Commented [LS33]: @Advaith Venkataraman question tagged by Nicole in the Teams chat

Commented [NB34]: @Advaith Venkataraman can you add the fixed cost savings and the UPH degradation associated to the maintenance model?

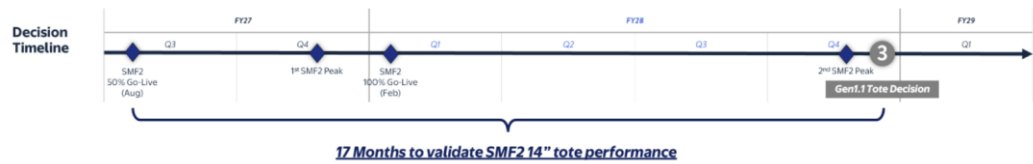
Commented [AV35R34]: Changed the wording a bit to make it clear that the 95 vs 97 are both based on the hybrid maint. Model. Gen 1 without the hybrid approach had a 102 UPH

Commented [AV36R34]: Added commentary around KNAPP specific fixed cost savings

Commented [NB37]: @Advaith Venkataraman can you add the Gen1.0 design UPH vs. the Carnesville UPH, and then explain why they're different? For ex. headwinds in IP % but tailwinds included in base scope like autobagging, SIOC increase, etc

Commented [NB38]: @Mike Pollack

Carnesville ASM Frequently Asked Questions



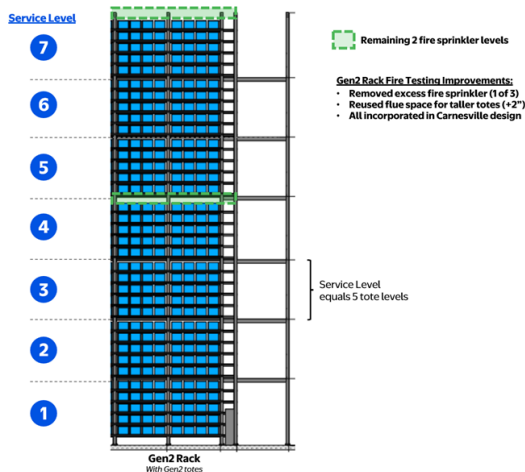
Q. Can the system handle a mix of tall and short totes?

A. The system (ASRS and conveyance) can technically handle a mix of tall and short totes from a physical standpoint. However, in practice, this approach would introduce additional complexity to the process. Specifically, any area that relies on sensing height and weight for totes would require the system to first identify the tote type and then apply calculations accordingly. This level of differentiation is not currently supported.

Q. What is the origin of the ASRS Fire testing & relevant findings?

A. Fire testing began in 2021 on Gen1 racking to evaluate FMDS 8-34 requirements and reduce the number of sprinklers required within the ASRS system. Following successful testing, sprinkler placement was reduced from every level to 3 out of 7 levels, freeing vertical space for valuable cube.

With these reduced sprinkler requirements, the Gen2 rack design was developed. This design eliminated the excess space previously reserved for sprinklers on levels where they were no longer needed, allowing that space to be utilized for larger Gen2 totes. This design was used and installed at SMF2 allowing for improved cube and cube density. Additional fire testing was conducted in 2022 on the Gen2 rack, enabling a further reduction in sprinkler requirements. As a result, the total number of sprinkler levels was reduced from 3 to 2, savings \$10-11M in sprinkler per site at SMF2, Carnesville, and future assets (image below). All these enhancements have been adapted in the latest ASRS rack configuration for Carnesville.



Q. How does Carnesville fit into the Next Frontier Plan and the overall automation strategy?

Commented [LS39]: @Advait Venkataraman question tagged by Nicole in the Teams chat

Carnesville ASM Frequently Asked Questions

A. The NextGen design is anchored to a baseline of 70–80 UPH (≈76 UPH) for existing NextGen FCs, when including automation and maintenance support as variable costs. The Next Frontier Plan builds on this by shifting volume into higher-throughput processes—such as upstream pre-receiving with universal totes, expanded autobagging, automated packing, and increased SIOC—improving overall flow efficiency.

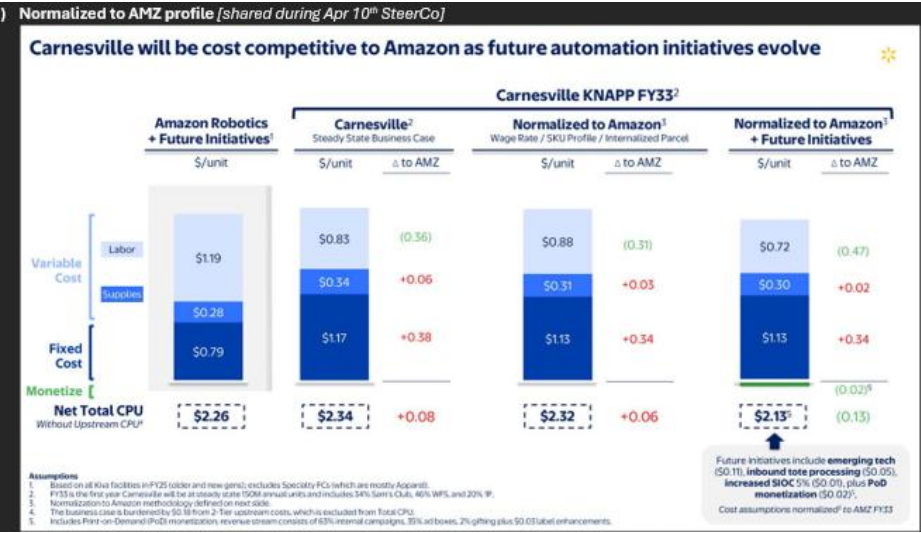
In parallel, autonomous robotics across tote merge, decant, picking, cycle counting, and inbound unloading further enhance productivity and reduce VCPU. Together, these initiatives drive a step-change to the mid-90s UPH range (≈95 UPH), delivering ~20–25% improvement over baseline while lowering unit costs and increasing consistency.

Carnesville's design already incorporates a large share of these efficiencies, including autobagging, automated packing, and increased SIOC. Additionally, the layout is built to effectively plug and play autonomous robotics as that strategy solidifies.

Q. With the modular decant design, how will we strategically send cases to specific decant stations?

While the physical path to the decant station differs from DFW5 (conveyance vs crossbelt sorter), the underlying software logic and decant assignment model remain largely unchanged. SMF2 also has a module decant design and will launch in FY27. From a software perspective, the inbound cases will still be assigned to a decant station. However, the physical path to the station will change compared to DFW5 – the cases convey to a module and then diverted to a specific a station via conveyor instead of cases inducted onto a crossbelt sorter and then diverted into a chute to a decant station.

AMAZON Cost to Serve:



- Commented [LS40]: @Advaith Vankararaman - Is this still the most up to date?
- Commented [AV41R40]: Yes, 76 with automation and maint. Support in variable.
- Commented [AV42R40]: @Lauren Siller , the frontier plan in it's own does not increase the UPH from 76 to the mid 90's. It is factored in by using a hybrid approach to maintenance.
- Commented [NB43R40]: I added some additional context to the NFP question to clarify

Carnesville ASM Frequently Asked Questions

2) Removes Normalization and just shows pure costs for future AMZ vs. Carnesville vs. Carnesville + Future Initiatives

